Outlook

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The pass/fail line may be hiding fragile approvals - 2024 control review

Hi team,

Credit Risk wants to study borrowers approved close to affordability limits rather than compare only approvals and declines.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use March 2024 as the new evidence point rather than recycling the earlier conclusion. Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause. Different teams have produced different answers from the same period, so population and timing rules need to be visible.

Can you test these explanations rather than choosing one at the start?
- verified expenses or income quality create the main uncertainty
- product and term explain the outcome
- thin discretionary income predicts later stress

The decision is whether policy buffers, verification or monitoring should change. Please give us a one-page finding note plus the underlying CSV for our own review.

You should be able to build the evidence from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations. The analysis can observe recorded affordability inputs, not every household obligation or later income shock.

Thanks